PERKALATE / ECOMMERCE

How to Measure a Targeted Offer: Viewed, Claimed, Redeemed

Three numbers show whether a targeted offer worked and where it broke. A practical guide for online brands, with realistic expectations.

Most promotion reporting stops at one number: how many orders used the code. That tells you something happened. It doesn't tell you whether the offer reached the right people, whether they cared, or whether it changed anything.

A better way is to track each offer as a funnel with three stages.

Viewed

How many eligible people actually saw the offer? This is your reach. If it's low, the problem is distribution, not the offer. Common causes: the offer lives on a page few people visit, the email landed in a promotions tab, or the eligibility rules were so narrow almost nobody qualified.

What to do: move the offer closer to where shoppers already are, such as product pages, the cart or the account page, and check that the audience is big enough to matter.

Claimed

Of the people who saw it, how many took the step to claim or save it? This is interest. A healthy view count with weak claims usually points to the offer itself. The value may be too small, the terms confusing, or the call to action unclear.

What to do: test one variable at a time. Change the reward, or the wording, or the button, not all three at once.

Redeemed

Of the people who claimed, how many used it on an order? This is conversion. A gap between claimed and redeemed often means friction at checkout, an expiry that came too soon, or a reward that only applies to products the shopper didn't want.

What to do: look at when redemptions happen relative to claims. If most come right before expiry, the deadline is doing the work. If most claims never redeem, simplify how the reward applies.

Add a holdout

The three stages tell you how the offer performed. They don't tell you whether it caused the result. For that, hold back a random slice of the eligible audience and don't show them the offer. Compare their purchase rate over the same period with the group that saw it.

The difference is your incremental lift. It's the number that tells you whether the offer paid for itself, and it's often smaller than the raw redemption count suggests, because some redeemers would have bought anyway.

Work out the real cost

For each campaign, write down:

- Total reward value redeemed
- Incremental orders compared with the holdout
- Margin on those incremental orders
- Repeat orders from that group in the following weeks

If the margin on incremental orders, plus a fair estimate of repeat value, is higher than the reward cost, the offer worked. If not, it was a discount with extra steps.

What to expect early on

Be patient with the first few campaigns. Small, tightly targeted audiences produce small absolute numbers, and that's fine. You're looking for the shape of the funnel and the size of the lift, not a big headline total. Expect to adjust eligibility rules and reward size two or three times before you find a setup worth scaling.

Expect some offers to fail, too. A targeted offer that moves nobody is cheap to learn from, because you only funded it for a defined group.

Keeping it privacy friendly

You don't need to know who each person is to measure this well. Aggregate counts at each stage, plus a holdout comparison, answer the questions that matter.

Start with the three numbers. They'll tell you more about your promotions than any single redemption count.

Plan a pilot

Choose one audience, one reward and one result to measure. Set the budget and eligibility rules before launch. Tell participants which information you need and share results in aggregate where possible.